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THE BT INTERVIEW

extent, the integration was much easier than two entities merging their businesses and where you have a lot of replication of functions.

But having said that, we were a largely India-centric workforce and then we had to bolt on a very global workforce. That is where we had to do a lot of thoughtful integration.

We really focused on the human resources aspect of the integration. One of the big mistakes Indian companies have made when they've gone global, I think, is to send Indians to try and integrate the businesses overseas. We didn't do that. We had people locate in those areas to help us integrate people into our business. So, we basically have three or four hubs in our global business.

SK: How do you see the impact of regulation on business?

KMS: The best example is our research services business, which is Syngene. Its biggest competitor is a Chinese company. The Chinese have done a very good job of embedding themselves in a lot of the biotech start-ups and big pharma in terms of being their preferred CDMO. We have not done such a great job because we kept positioning ourselves as a value arbitrage or a cost arbitrage. We lost out... and by the time we woke up to the fact that it shouldn't just be a cost arbitrage, it needs to be an integrated drug development play, we had to play catch-up.

Today, thanks to the Biosecure Act [passed in the US that seeks to restrict biotech imports from China], we are seeing a lot of people coming to us saying, 'Let's give you some pilots. If you do it well, then you'll get more business from us because we do need to de-risk our Chinese operations.'

SZ: There's a PLI scheme across sectors. What more would need to be done?

KMS: The key starting material and APIs for which we rely a lot on China can easily be made in India. But we need to have economies of scale. I believe the PLI scheme needs to focus on that aspect. You need to incentivise companies in terms of their capital needs.

The PLI scheme only provides you a benefit after you make the product. You need to have economies of scale if you're serious about competing with China.

SZ: Sanjeev, is there a lesson for Indian policy in this regard, especially for the pharmaceuticals sector?

SK: I think the focus on R&D in the US has been out-

standing. Look at what China is doing to make itself almost green indispensable. And, I think the third point, is that for many years we thought that big was bad. But I think big is no longer bad, particularly if you want to compete on the global stage. There is a huge amount of capital the government has been spending, but we need to encourage more private capital to come in to support this, particularly in this industry.

KMS: I want to add to that the reason you only have one big biosimilars company out of India is the same reason we took that big gamble on investing in creating a global scale biosimilars company, which meant we had to spend over a billion dollars.

We've spent \$2 billion over the last 10 years building our biosimilars business. And then I've invested another \$3 billion in acquiring the business from my partners. So, for anybody in India, or anywhere in the world for that matter, to enter the global biosimilars space, your starting cheque size is a billion dollars. How many people are willing to invest that kind of money and wait for another six or seven years before they can get any payback?

"The integration [of Viatri's biosimilars business] was much easier than two entities merging their businesses and where you have a lot of replication of functions"

SZ: What are the new trends that are going to sort of make a fundamental difference in the years ahead?

KMS: If you look at diabetes or diabetes as I call it now. I think it's taking a very different kind of dimension. It's interesting that even in biosimilars, we are a very differentiated company because we're the only company developing biosimilar insulins. We are today the third largest insulin producer in the world after Novo Nordisk and Eli Lilly. I think we would be the only company in the world with a combination of insulins and GLP ones. **BT**

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